

retire, and suddenly it's clear that there's just not enough cash being paid into the Social Security pot anymore.

That said, there's a lot that can be done, such as raising the retirement age a tad or reducing benefits a bit. These small changes would go a long way toward fixing the system and making it better. And here's what the Wall Street analysts rarely tell you: Even if nothing is done, the program will still be taking in enough money for you to receive most of the benefits (the current forecast is about 75%) that previous generations enjoyed—for the rest of your life.

Besides, even if it's just a myth that Social Security is going broke, the program was never meant to be your main source of income in retirement. That's why you need to work now to max out your contributions to the retirement plans discussed in this chapter.

↓ **WHAT ARE RETIREMENT SAVINGS PLANS, ANYWAY?**

Back in the early 1970s, when Microsoft was just a glimmer in Bill Gates's eye, Congress decided to give savers a break by creating tax-subsidized retirement savings programs. Today, most of us have access to some sort of tax-favored plan whether we have a traditional job or work freelance. In a traditional set-up, you probably have a 401(k) plan. If you work independently (or if your company doesn't offer a 401(k) plan), you can go for an IRA (individual retirement account). Bill Gates probably isn't worrying much about his retirement savings, but you need to.

Here's an explanation:

- **401(k)s** are retirement savings plans available to employees of most major companies and many small ones. **403(b)** plans (also called tax-sheltered annuities) are a version offered to employees of public schools and certain religious or charitable organizations. (Since 403(b)s are similar to 401(k)s, I'll refer only to 401(k)s throughout this chapter.)
- **IRAs** are available to working people (and their nonworking spouses) and are especially attractive for those who work for